

DRUMOAK CAPITAL
Cadre Holdings Inc (CDRE)
Equity Research Report
May 2026
As of 1 May 2026 Close



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CADRE HOLDINGS INC

NYSE: CDRE | Aerospace & Defence | United States

Current Price: US\$29.85 | Implied Upside: +29.9% | Market Cap: US\$1.22B FY2025A EBITDA: US\$111.7m

BUY

Price Target: US\$ 38.78

Angus Logan | McGill Finance | May 1, 2026

I. EXECUTIVE SUMMARY – THE COMPUnder HIDING IN PLAIN SIGHT

Cadre holdings is not just a defence contractor, it is a public-market private-equity roll-up, consolidating mission-critical safety equipment niches (e.g. body armor, EOD gear, duty equipment, and nuclear safety products) where certification requirements, government procurement relationships, and replacement-cycle demand create durable, low-churn revenue. The market sees a defence-adjacent industrial; the underlying business is a capital allocation platform with demonstrably expanding margins, near-zero capex intensity (1.1% of revenue), and a repeatable bolt-on M&A engine that has deployed over \$230M of acquisition capital across FY2024-2025 while keeping the balance sheet liquid.

The FY2025 financial statements validate the thesis quantitatively. Operating cashflow doubled year-over-year from \$31.8M to \$63.7M. Net income grew 22% on only 15.7% revenue growth, demonstrating operating leverage that the headline numbers obscure. Gross margin expanded 140bps to 42.5%. Free cash flow of ~\$56.8M (51% FCF/EBITDA conversion) was generated while simultaneously funding \$89.6M of acquisition and increasing the quarterly dividend for the 17th consecutive quarter. This is not a business that is consuming capital to grow, it is generating it.

The investment case rests on three interlocking pillars: (1) a disciplined M&A platform consolidating fragmented safety niches with minimal customer overlap and immediate acceleration; (2) recurring replacement demand underpinned by certification mandates and rising global safety threats; and (3) secular tailwinds across both public safety and nuclear markets that are structural, not cyclical. At approximately 10x forward EBITDA, a discount to every quality peer, CDRE offers an asymmetric entry point.

II. PILLAR 1 – THE M&A PLATFORM: TYR TACTICAL AS THE BLUEPRINT

Cadre's competitive advantage is the operating model itself. The company acquired established trusted safety brands, integrated them into a centralized distribution, procurement, and back-office infrastructure, and extracts margin through overhead elimination and cross-selling. The February 2026 acquisition of TYR Tactical is the clearest demonstration of this model executing at scale.

TYR Tactical – Deal Mechanics and Strategic Logic:

- Total consideration: \$175M (\$150M + \$25M CDRE stock), structured to align TYR management with long-term integration success.
- TYR is a world-class manufacturer of mission-critical personal protective equipment and tactical gear for military and law enforcement globally, with engineering capabilities Cadre describes as unlocking access to higher-value, higher-margin end markets.
- Geographical complementarity is the key insight: TYR generates 66% of revenue internationally versus only 17% for existing Cadre operations, while Cadre generates 75% of revenue domestically versus 7% for TYR. Minimal customer overlap means revenue synergies are additive, not cannibalised.
- European military exposure is strategically timed: TYR's international footprint provides immediate access to European defence procurement at precisely the moment NATO members are accelerating spending commitments post-Ukraine. Germany's defence budget uplift alone represents a multi-year demand tailwind for the product categories TYR supplies.
- Financially assertive from close: management guided immediate accretion to both EPS and adjusted EBITDA margins, consistent with the thesis that Cadre acquires at disciplined entry multiples and extracts synergies quickly.

The broader M&A track record reinforces conviction. Cadre deployed \$89.6M on acquisitions in FY2025 following \$141.8M in FY2024, maintaining cash balances broadly flat at ~\$125M throughout, demonstrating that the business generates sufficient operating cash flow to self-fund its roll-up without dilutive equity issuance. The March 2026 announcement of Tedder Industries / Alien Gear Holsters signals the pipeline remains active at a disciplined bolt-on scale. Q4 2025 backlog increased \$61M year-over-year, driven in part by Carr's acquisition and a Blast Sensor contract, evidence that acquired businesses bring incremental order flow, not just revenue recognition.

III. PILLAR 2 – RECURRING REPLACEMENT DEMAND & STRUCTURAL INDUSTRY TAILWINDS

Public safety equipment is not discretionary. Law enforcement agencies, military units, and first responder organisations operate under certification mandates requiring periodic equipment replacement regardless of budget pressure. Body armour carries a defined service-life limit. EOD equipment is subject to strict maintenance protocols. Duty gear is issued on replacement cycles. The Q4 2025 earnings presentation identifies three structural public safety tailwinds that underpin this demand floor:

- Rising safety threats globally, geopolitical instability, domestic civil unrest, and elevated terrorism risk are driving sustained public safety investment across both developed and emerging markets, creating catalysts for steady, recurring demand.
- Resilient and growing government spend worldwide, public safety budgets have proven among the most politically durable line items even in fiscal consolidation environments. Governments defer infrastructure; they do not defer equipping frontline officers.
- Certification-driven switching costs, once a product achieves federal, military, or law enforcement procurement approval, competitors face a multi-year re-certification cycle. This creates sticky, repeat procurement relationships at the agency level that compound over time.

The certification moat is underappreciated. Cadre's brands hold established approvals across body armour, duty gear, and EOD product lines. New entrants cannot simply undercut on price, they must first replicate years of certification history and procurement relationships. This structurally limits competition and supports margin stability even in periods of input cost pressure.

Q4 2025 product mix further validates the recurring demand thesis. Higher duty gear volumes drive a favourable mix shift in the quarter despite lower distribution volume, precisely the pattern of an installed base generating steady replacement purchases independent of new contract awards.

IV. PILLAR 3 – NUCLEAR SAFETY: THE SECOND GROWTH LEG THE MARKET HAS NOT PRICED

Cadre's nuclear safety segment is structurally distinct from its public safety business and represents a long-duration, high-barrier growth vector that current sellside coverage largely ignores. The Q4 2025 earnings presentation identifies three independent nuclear tailwinds, each of which is durable and largely uncorrelated to law enforcement budget cycles:

- Environmental management for nuclear clean-up, decommissioning of legacy nuclear sites requires decades of specialized safety equipment procurement. This is non-discretionary government spending with multi-year visibility, representing a recurring revenue stream with high barriers to entry.
- Ongoing and expanding national defence initiatives, nuclear weapons modernisation programmes across the US and allied nations drive sustained demand for nuclear safety and handling equipment. These programmes are embedded in long-term defence budgets and are politically insulated from short-term fiscal pressures.
- Commercial nuclear renaissance, the global pivot towards nuclear as a reliable, low-carbon baseload energy source is accelerating. Small Modular Reactor (SMR) buildout, life-extension of existing fleets, and new large-scale nuclear construction all generate sustained demand for nuclear safety equipment. Critically, this tailwind is directly correlated to AI infrastructure investment: hyperscale demand for firm power is one of the primary commercial catalysts for new nuclear capacity.

V. FINANCIAL SNAPSHOT – QUALITY CONFIRMED BY THE STATEMENTS

Metric	FY2024A	FY2025A	FY2026E (Mid)	YoY Change
Net Sales (US\$m)	\$527.3M	\$610.3M	\$747.0M	+15.7%
Gross Profit Margin	~41%	42.5%	~43%	+50bps
Adj. EBITDA (US\$m)	~\$90M	\$111.7M	\$138.5M	+24.0%
Adj. EBITDA Margin	~17%	18.3%	~18.5%	+20bps
Capex (US\$m)	~\$5M	\$7.0M	\$10-14M	Increased M&A Integration
Net Debt (US\$m)	~\$120M	\$184.4M	~\$200M+	Increased M&A Activity
EPS (Diluted)	~\$0.90	~\$1.12	~\$1.35E	+20.5%

The FY2025 financial statements are usually clean for a roll-up compounder. Net income grew 22% on 15.7% revenue growth, the clearest possible signal of operating leverage and margin discipline. The \$83M increase in net sales in FY2025 was accompanied by only a \$16M increase in COGS, implying gross profit grew faster than revenue and confirming the 140bps margin expansion to 42.5% is structural rather than mix-driven. Operating cash flow of \$63.7M was approximately double FY2024's \$31.8M, and with capex of only \$6.9M (1.1% of revenue), free cash flow of ~\$56.8M represents a 51% FCF/EBITDA conversion ratio, solid for a business in active acquisition mode. Management declared the 17th consecutive quarterly dividend increase (\$0.02 annualised increase), distributing \$15.4M in dividends in FY2025 while simultaneously funding \$89.6M of acquisitions and holding cash broadly flat at \$125.3M. The one legitimate caveat: long-term debt rose from \$211.8M to \$291.0M as acquisition activity accelerated. Leverage discipline warrants monitoring, but at approximately 1.3x FY2025 adjusted EBITDA, the balance sheet retains meaningful capacity for further bolt-ons.

VI. VALUATION – THE MATHEMATICS OF THE LONG

The framework applies a forward EV/EBITDA exit multiple to FY2026E estimates, bridged to equity value via net debt of \$184M and approximately 41.0M diluted shares outstanding. The base case assumes management delivers guidance midpoint revenue of \$747M with EBITDA margin improvement to 19.0%, a modest 70bps expansion from FY2025A, and is rewarded with a 12.5x multiple: still a meaningful discount to MSA Safety (~13x) and Federal Signal (~12x), both of which have inferior growth profiles. The re-rating from current ~10x to 12.5x is the justified assumption once TYR integration demonstrates the acceleration management guide.

	Bear Case	Base Case	Bull Case
Revenue Growth	14%	22% (Management Midpoint)	32%
2026E Revenue (US\$m)	\$695M	\$747M	\$806M
EBITDA Margin	17.5%	19.0%	21.0%
2026E Adjusted EBITDA (US\$m)	\$121.6M	\$141.9M	\$169.3M
Exit EV/EBITDA Multiple	10.0x	12.5x	15.0x
Implied Enterprise Value (US\$m)	\$1,216M	\$1,774M	\$2,540
Less: Net Debt (US\$m)	(\$184M)	(\$184M)	(\$184M)
Implied Equity Value (US\$m)	\$1,032M	\$1,590M	\$2,356M
Implied Share Price (US\$)	\$25.17	\$38.78	\$57.46
Vs Current Price (US\$29.85)	(15.7%)	+29.9%	+92.5%

Sensitivity Analysis

The sensitivity matrix shows that the stock is a Buy across the vast majority of realistic margin and multiple combinations. Even holding EBITDA margins flat at 17.5% (the bear case, requiring both margin compression and no TYR accretion), the stock reaches \$35.20 at an 11x multiple, still modest upside. In the base case, the combination of ~70bps margin expansion and re-rating to 12.5x drives +29.9% upside to our price target of \$38.78. For the upside case to materialize, TYR's European military exposure would need to accelerate revenue toward \$806M while margins expand to 21%, not an aggressive assumption given TYR's higher-margin end markets and 44.1% gross margin at acquisition.

Margin ↓ / Multiple =>	10.0x	11.0x	12.5x	14.0x
17.0%	\$22.80	\$26.60	\$32.30	\$38.00
17.5% (Bear)	\$25.17	\$29.20	\$35.20	\$41.20
19.0% (Base)	\$31.50	\$36.10	\$43.50	\$50.90
21.0% (Bull)	\$38.50	\$44.00	\$52.90	\$61.80

VII. PEER COMPARISON

Cadre trades at a material discount to every named peer on a forward EV/EBITDA basis despite delivering the highest revenue growth in the group and superior gross margins to MSA Safety and Federal Signal. The discount to Axon is justified given the technology premium Axon commands, but the discount to MSA (~13x) and Federal Signal (~12x) is not. Cadre grows revenue at 3-4x their rate and generates comparable or better margins. The re-rating opportunity is straightforward: as TYR integration proves out and the roll-up model delivers a second consecutive year of EBITDA margin expansion, the appropriate peer group shifts fairly into the 12-14x range.

Company	EV/EBITDA (Fwd)	Fwd P/E	Rev Growth	Category
Cadre Holdings (CDRE)	~10.2x	26.7x	~22%	Safety Equipment Platform
MSA Safety (MSA)	~13x	~22x	~5%	Industrial Safety Comp
Federal Signal (FSS)	~12x	~20x	~7%	Government-Facing Industrial
Axon Enterprise (AXON)	~35x	~55x	~25%	Public Safety Technology
CAE Inc (CAE.TO)	~11x	~17x	~8%	Defence Training (Canada)

VIII. KEY RISKS TO THE THESIS

Risk 1 - M&A Integration Failure (Primary Risk)

Cadre's entire value proposition depends on acquiring well and integrating well. The TYR deal at \$175M is the largest in the company's history and introduces integration complexity, world-class engineering capability is harder to retain than a distribution business. If management fails to extract margin synergies, the compounding story stalls. Monitor: post-TYR EBITDA margin trajectory and organic revenue growth in Q1-Q2 2026 results. The bear case is not that demand disappears, it is that M&A discipline slips on a larger deal.

Risk 2 - Rising Leverage Requires Discipline

Long-term debt increased from \$211.8M to \$291.0M in FY2025 as acquisition activity accelerated. While current leverage of ~1.3x adjusted EBITDA remains manageable, further large acquisitions before TYR is fully integrated could stretch the balance sheet. The thesis requires management to prove FCF conversion improves post-TYR before pursuing the next large deal. A leverage overhang would also limit dividend growth capacity, removing a key signal of cash generation confidence.

Risk 3 - Fixed-Price Contract Margin Pressure

Fixed-price contracts represent ~18% of Product segment revenue and ~65% of Distribution segment revenue per the FY2025 10-K. Input cost inflation in specialized materials that cannot be passed through erodes margins directly. Given the distribution segment's concentrated fixed-price exposure, a sustained input cost cycle would compress blended EBITDA margins and potentially invalidate the base case margin expansion assumption.

Risk 4 - Organic Growth vs Acquired Growth Visibility

Q4 2025 revenue declined year-over-year against a tough comparable inflated by shipment timing recovery following a FY2024 cyber incident. Management's FY2026 guidance of 22% revenue growth is substantially acquisition-driven (TYR contribution).

IX. CATALYSTS

Immediate

The Q1 2026 earnings call on May 12, 2026, is the first substantive test of the investment thesis. It will provide the initial disclosed data on TYR Tactical's post-close financial performance and management's first public commentary on integration progress and synergy realisation timelines. Critically Q1 will offer the first opportunity to disaggregate organic revenue growth from the TYR acquisition contribution, a key input to assessing the durability of the underlying demand rather than the optically large 22% guided headline growth. Any evidence of adjusted EBITDA margin expansion toward or above 19.0% in Q1, even on a partial period TYR contribution, would represent a materially positive signal for the re-rating thesis.

Near-Term – 12 Months

- **TYR Integration Execution:** confirmation that world-class engineering capabilities are being retained, that European military customer relationships are being activated, and that the \$175M consideration is generating measurable EBITDA accretion. The stock consideration component (\$25M in CDRE shares) aligns TYR management incentives with sustained integration performance
- **Backlog Conversion:** Q4 2025 backlog increased \$61M year-over-year, driven by Carr's acquisition and a Blast Sensor contract. Monitoring the pace at which this backlog converts to recognised revenue provides leading-indicator visibility into H2 2026 earnings.
- **European Defence Contract Wins:** TYR's 66% international revenue base positions Cadre for direct participation in European NATO spending acceleration. Germany's commitment to exceed the 2% GDP defence target, among the most politically credible defence budget increase in a generation, creates a direct addressable opportunity in personal protective equipment and tactical gear procurement. The first disclosed European contract wins would represent a tangible validation of the TYR deal rationale.
- **Dividend Trajectory:** Management has increased the quarterly dividend for 17 consecutive quarters, most recently by \$0.02 annualised. An 18th consecutive increase at the Q1 call would signal continued confidence in FY2026 free cash flow conversion, providing an explicit management endorsement of the thesis that operating cash generation is not being sacrificed to fund the TYR integration.
- **Tedder Industries / Alien Gear Holsters close and initial contribution:** The March 2026 announcement of this bolt-on acquisition demonstrates the M&A pipeline remains active at sub-\$50M deal sizes. Successful close and early integration commentary would confirm the roll-up cadence has not been disrupted by the larger TYR integration.

Medium-Term – 24-36 Months

- **Multiple re-rating on sustained margin expansion:** The core valuation catalyst is a re-rating from the current ~10x forward EBITDA toward the 12.5-14x range commensurate with quality safety-equipment peers MSA Safety and Federal Signal. This re-rating requires two to three consecutive quarters of adjusted EBITDA margin at or above 19.0% to establish credibility with instructional investors currently applying a sceptical discount to roll-up compounders. Once established, the re-rating is self-reinforcing, higher multiples reduce cost of equity and improve the economics of future acquisition.
- **Nuclear safety segment growth inflection:** As environment remediation programmes scale and commercial nuclear construction activity accelerates, the nuclear safety segment is likely to represent a growing share of total revenue at above-average margins. Any segment revenue disclosure or analyst day commentary quantifying the nuclear safety addressable market would catalyze a meaningful upward revision to consensus estimates, which currently do not model this vector independently.
- **AI-driven energy infrastructure demand:** The commercial nuclear renaissance is materially accelerated by hyperscale demand for firm, carbon-free baseload power. As data centre contribution continues to grow and major technology companies commit to nuclear power purchase agreements, the commercial nuclear supply chain, including safety equipment procurement, benefits from a sustained, multi-decade demand uplift. Cadre's existing nuclear safety infrastructure positions it as a natural beneficiary of this secular shift.

- Further disciplined bolt-on acquisitions: The roll-up model requires a continued pipeline of sub-\$100M acquisition at entry multiples that are immediately accretive. Each successful acquisition expands the certification portfolio, extends distribution reach, and adds to the compounding earnings base. Management’s track record of deploying \$230M+ across FY2024-2025 while maintaining cash balances and increasing dividends demonstrates the capital discipline required to sustain this cadence.
- Leverage normalisation improving financial flexibility: As TYR EBITDA accelerates to the consolidated P&L and FCF conversion improves, net leverage will naturally decline from current ~1.3x toward 1.0x or below. This de-leveraging creates additional capacity for the next phase of the M&A programme without requiring equity issuance, maintaining the returns accretive character of the roll-up model.

X. RELEVANCE TO VAN BERKOM ASSET MANAGEMENT

Van Berkom Asset Management’s global and international small-cap mandate focuses on identifying underfollowed, high-quality businesses trading at a discount to intrinsic value, companies where the market has not yet recognised the durability and compounding potential of the underlying economics. Cadre Holdings is a direct expression of that investment philosophy.

The business possesses five characteristics that are central to VBAM’s quality framework. First, niche market leadership with certification-driven barriers: Cadre’s brands hold established procurement approvals across body armour, EOD; duty gear, and nuclear safety that require years to replicate, creating a durable competitive position that does not erode with price competition. Second, recurring revenue characteristics: replacement mandates, service-life limits, and certification renewal cycles generate predictable demand floor that is materially more defensive than the industrial sector multiple at which the stock trades implies. Third, capital-light compounding: capex of 1.1% of revenue and operating cash flow that doubled year-over-year to \$63.7M in FY2025 demonstrate a business that generates significant free cash flow relative to its earnings base, creating the retained capital to fund the next acquisition without external financing. Fourth, management alignment and capital discipline: 17 consecutive quarterly dividend increases, a \$25M CDRE stock component in the TYR consideration, and M&A activity funded from operating cash flow rather than dilutive equity issuance are consistent with an operator-led management team whose incentives are aligned with long-term per-share value creation. Fifth, underfollowed relative to the quality of the economics: CDRE trades at approximately 10x forward EBITDA, a discount to MSA Safety, Federal Signal, and every direct safety-equipment peer, despite superior revenue growth, comparable margins, and a more differentiated long-term growth profile through the nuclear safety vector.

The TYR Tactical acquisition adds a dimension particularly relevant to VBAM’s international small-cap orientation. TYR’s 66% international revenue base provides Cadre with meaningful exposure to European defence procurement precisely as NATO members accelerate spending commitments, a macro tailwind that is structurally durable and not dependent on any single government budget cycle. For a manager focused on identifying global small-cap opportunities before they are widely recognised, the combination of TYR’s European military access and Cadre’s domestic platform represents a cross-border compounding story at an early stage of its international development.

XI. CONCLUSION

Cadre Holdings is a quality small-cap compounder that the market is currently pricing as a simple defence-adjacent industrial. The underlying business is materially more durable and more differentiated than that classification implies: it generates recurring replacement demand through certification mandates, compounds intrinsic value through disciplined bolt-on M&A, and is structurally positioned to benefit from three independent secular tailwinds, rising global safety threats, nuclear safety infrastructure investment, and European NATO rearmament, none of which are modelled in current sell-side estimates.

The FY2025 financial statements provide unambiguous quantitative support for the thesis. Net income growing 22% on 15.7% revenue growth, operating cash flow doubling to \$63.7M, gross margin expanding 140bps to 42.5%, and 17 consecutive quarterly dividend increases constitute a financial track record consistent with a high-quality compounder rather than a cyclical defence equipment business. The TYR Tactical acquisition, completed February 2026, is the largest and most strategically significant deal in the company’s history, it expands Cadre’s addressable market into higher-margin military end markets and opens European defence procurement relationships at precisely the right moment in the NATO spending cycle.

At approximately 10x forward EV/EBITDA, the stock trades at a discount to every quality peer in the safety equipment sector despite delivering superior revenue growth and comparable or better margins. The base case price target of \$38.78 implies 29.9% upside on a conservative assumption of 70bps EBITDA margin expansion and re-rating to 12.5x, still below MSA Safety’s current trading multiple. The bull case of \$57.46 requires only that TYR’s European military exposure accelerates as guided and margins expand toward the 21% range that TYR’s higher-margin end markets support. The bear case requires simultaneous margin compression and multiple contraction, a combination that would demand a meaningful deterioration in both integration execution and market sentiment.

BUY	Price Target: US\$38.78	Implied Upside: +29.9%	Current Price: US\$29.85	NYSE: CDRE
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